

The Mainstream strategy is simple: Take the average annual change in whatever the subject at hand is and extrapolate forward a year. Voila! You have a mainstream forecast. Equities, predict 8% gains in the S&P 500. For any economic data series, project out the trailing six-month average forward. As Lord John Maynard Keynes observed, “Worldly wisdom teaches that it is better for reputation to fail conventionally than to succeed unconventionally.”⁶⁵

Then there is the Outlier approach, where a wildly unorthodox forecast is made. The prognosticator predicts 5,000 for the Dow Jones Industrial Average when it's three times that, or hyperinflation, or \$10,000 gold, or a 1% yield on the 30-year Treasury bond, or a collapse in the Federal Reserve's balance sheet. Lately, it's been Bitcoin \$1,000,000.

If it comes to pass, the forecaster is feted as a rock star. If not, most people forget (though some of us track these outlier forecasts). Those in the prediction industry are pernicious survivors. They understand how to play on the human psyche to great advantage. Like the cockroach, they adapt well to conditions of chaos and uncertainty.

There is a flaw in the human wetware that leads to a demand for predictions. The evolutionary propensity humans suffer from is the desire for specific claims from self-confident leaders.

This is demonstrated in a wealth of academic data about forecasting track records. Research has shown there is a high correlation between a forecaster's appearance of self-confidence and believability. Unfortunately, there is an inverse correlation with accuracy, for reasons revealed by the Dunning and Kruger studies on metacognition and self-evaluation (more later). The more precise a prediction, the more likely it will be believed, and the less likely it is to be right. These factors set up viewers to have the most faith in the people who are least likely to be correct.

History shows us that people are terrible about guessing what is going to happen—next week, next month, and especially next year. We are error